

Employee benefits in India are non-wage compensations provided to employees in addition to their normal salaries. Following the implementation of the new labour codes on 21 November 2025, the landscape has shifted from a purely welfare-based model to a comprehensive social security framework that includes gig workers and fixed-term employees.

Market Overview and Notability

As of 2026, the Indian employee benefits market is characterized by rapid formalization. According to the Ministry of Labour and Employment, the country added over 1.29 crore net subscribers to the EPFO in the 2024-25 fiscal year. The health insurance segment specifically is projected to reach USD 18.8 billion in 2026, growing at a CAGR of 13.1%.

2025-26 Regulatory Reforms

The consolidation of 29 central labour laws into four unified codes (Wage, Social Security, Industrial Relations, and Occupational Safety) significantly altered benefit structures:

Wage Definition: Basic pay must now constitute at least 50% of total remuneration, impacting PF and gratuity contributions.

Gratuity for Fixed-Term Workers: Eligibility for gratuity has been reduced from five years to just one year for employees on fixed-term contracts.

Mandatory Health Checks: Organizations are now required to provide free annual health check-ups for all workers above the age of 40.

Statutory Benefits

Employees' Provident Fund (EPF)

Governed by the EPF Act, 1952, this retirement scheme is mandatory for firms with 20+ employees. In FY 2024-25, the interest rate was set at 8.25%. Contributions are split between

the Provident Fund and the Employees' Pension Scheme (EPS).

Employees' State Insurance (ESI)

A multi-dimensional social security system providing medical care and cash benefits. Under the 2025 reforms, ESI coverage has been extended to include workers in the unorganized sector and gig workers in certain notified regions.

Voluntary and Emerging Trends

Modern Indian corporations, particularly in the IT and GCC sectors, offer "Value Added Benefits" to combat high attrition rates, which averaged 15-18% in 2025.

Group Health Insurance (GHI): Medical trend rates in India are projected to rise by 11.5% in 2026, leading employers to adopt flexible "cafeteria-style" plans.

Industry Players

The ecosystem is divided into traditional insurers and tech-enabled platforms:

Insurers: New India Assurance, ICICI Lombard, and HDFC ERGO.

Consultancies/Brokers: Marsh India, Aon, and Mercer.

See also

[Labour law in India](#)

[Social security in India](#)

[Economy of India](#)

== References ==